


# The CLARITY Act Could Be The Catalyst That Sends Bitcoin And Ethereum Higher Into Year End



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Crypto finally woke up. Bitcoin (BTC-USD) rallied 22% this week to $77,692 which was its best five-day performance since March 2024. Ethereum (ETH-USD) did even better as it climbed 29.8% over the past seven days and touched $2,546 on Saturday before cooling off into the low $2,400s. This wasn't some random pump on a quiet summer tape. Bitcoin had spent roughly six weeks boxed between support around $62,000 and resistance at $66,000 after effectively getting cut in half from its all-time high last October. Then Washington gave the market a reason to care again.

On August 19th President Trump hosted crypto executives at the White House and called on Congress to pass the CLARITY Act which has been stalled in the Senate for over a year. Bitcoin ripped back above $70,000 for the first time since early June and Ethereum jumped roughly 17.5% in a single session as it opened near $1,917 and closed above $2,250. The move ran straight over the shorts as bearish crypto bets lost a record $2.7 billion in liquidations. The Senate now has a procedural vote on the calendar for September 15th and the market is starting to price in the idea that comprehensive crypto legislation actually gets signed into law this year.

I want to walk through what the CLARITY Act actually is, why it matters so much for digital assets and why I believe Bitcoin and Ethereum can head higher into the end of the year if this bill crosses the finish line.

## What The CLARITY Act Actually Is

The Digital Asset Market Clarity Act of 2025 is the market structure bill the crypto industry has been asking for since the beginning. The House passed it with bipartisan support on July 17th, 2025 and it answers the single question that has haunted digital assets for over a decade. Is this token a security or a commodity? Nobody could tell you with certainty and that ambiguity is what allowed regulators to govern an entire industry through lawsuits instead of rules.

CLARITY fixes that by creating a formal classification system with three buckets. Digital commodities, investment contract assets and permitted payment stablecoins. Assets that run on mature decentralized blockchains get classified as digital commodities and fall under the Commodity Futures Trading Commission ((CFTC)). Centralized token offerings and fundraising activity stay with the Securities and Exchange Commission ((SEC)). Bitcoin and Ethereum are the textbook examples of what lands in the CFTC bucket since they're the most decentralized networks in the space.

The bill goes well beyond drawing jurisdictional lines. It creates new registration categories at the CFTC for digital commodity exchanges, brokers and dealers. It requires customer asset segregation, qualified custody, disclosures and market surveillance. It formally brings these intermediaries inside the Bank Secrecy Act framework so know your customer and anti-money laundering rules apply the same way they do in traditional finance. The CFTC also has to open an expedited registration pathway within 270 days of enactment which lets firms operate with provisional status while the final rulebook gets written. CLARITY is designed to sit alongside the GENIUS Act which was signed into law in July 2025 and created the federal framework for stablecoins.

The Senate is where this has dragged. Senate Banking advanced the bill out of committee on May 14th, 2026 while Senate Agriculture moved companion legislation covering CFTC oversight of spot markets. A floor vote was supposed to happen before the August recess and it got bumped when leadership prioritized the Russia sanctions package which is why Bitcoin briefly broke below $63,000 in late July. Republicans have since released an updated consolidated text addressing several of the earlier sticking points and now the president is publicly pushing for passage. He told the executives at the White House that the bill would "keep us ahead of China" and SEC Chair Paul Atkins has backed it as well.

## Why Regulatory Clarity Matters So Much For Crypto

For years the biggest pools of capital in the world looked at crypto and saw legal risk they couldn't quantify. A bank compliance officer can't sign off on custodying an asset when two federal agencies are actively fighting over who regulates it. A pension board can't allocate to an asset class where the rules change depending on which administration is in office.

Coinbase (COIN) CEO Brian Armstrong made this exact point at the White House when he argued that the lack of clear rules is what leaves ordinary Americans exposed to harm.

That's why this bill matters more than any single price catalyst. A signed CLARITY Act converts crypto from a legal gray area into a regulated asset class with a designated federal regulator, registered trading venues and enforceable custody standards. Institutions don't need crypto to be risk free. They need to know what the rules are so their lawyers will let them participate. The difference between an allocation committee saying no and saying how much is exactly what's on the table in the Senate right now.

## Why Bitcoin And Ethereum Can Keep Climbing Into Year End

The flows this week tell you how much money was sitting on the sidelines waiting for a reason to come back. Spot Bitcoin and Ethereum exchange-traded funds ((ETFs)) took in a combined $2.62 billion for the week ending August 21st which was their strongest week since October 2025 and reversed a $392 million outflow from the prior week. Bitcoin ETFs pulled in $1.92 billion across the past five days which was their largest weekly haul since the week of October 10th, 2025. Ethereum ETFs added roughly $697 million with inflows every single day. On August 19th alone Bitcoin ETFs took in $517 million which was their biggest day since early May while Ethereum ETFs brought in $189 million which was their largest daily inflow since October. Weekly trading volume across these products more than tripled from $6.9 billion to $22.1 billion.

What gets me excited is the money that hasn't come back yet. Bitcoin ETFs are still sitting on roughly $2.9 billion of net outflows for 2026 and Ethereum ETFs are down about $192 million on the year. One monster week didn't come close to repairing the damage from the drawdown that started after Bitcoin peaked last October. If the CLARITY Act is the catalyst that flips those YTD numbers positive then there's an enormous amount of capital still waiting on the sidelines.

The macro backdrop is helping too. Treasury Secretary Scott Bessent announced plans to more than double long-term bond buybacks which pulled long-end Treasury yields lower and took pressure off risk assets across the board. Falling long-term yields have historically been fuel for assets like Bitcoin that trade on liquidity and Ethereum behaves like a higher beta version of the same trade.

The technical setup is cleaner than it has been in months. Galaxy Research flagged Bitcoin's 50-week moving average at $82,470 as the key level to watch and noted that 11 of 13 historical weekly reclaims of that average have held. Bitcoin at $77,000 is still roughly 40% below its all-time high from last October so nobody can argue this move is late. Cathie

Wood reaffirmed ARK Invest's long-term $1.5 million price target and called this drawdown the shallowest four-year-cycle bear market on record. I'm not underwriting $1.5 million and I don't need to. Bitcoin reclaiming the 50-week average and making a run toward six figures into year end is a very achievable outcome if the Senate delivers.

Ethereum's setup might be even better. ETH spent most of mid-August pinned between the mid $1,800s and low $1,900s before exploding higher and its share of the total crypto market is now closing in on 11%. The tradable supply keeps shrinking as more ETH gets staked and locked away while BlackRock's (BLK) iShares Ethereum Trust led Friday's inflows with $151 million. When shrinking supply meets returning institutional demand the math takes care of itself.

## How A Signed Bill Directly Benefits Bitcoin And Ethereum

Bitcoin and Ethereum are the two clearest winners from this legislation and it isn't close. Both would be formally classified as digital commodities under CFTC jurisdiction which permanently ends the question of whether they're securities. That single change unlocks everything else.

Banks and brokerages get a legal pathway to custody and trade these assets through registered entities. Exchanges, brokers and dealers register with the CFTC under known rules which means the platforms institutions actually trust can finally list digital commodities at scale. Asset managers get room to build new products on top of the spot ETFs that already exist. Every one of those developments widens the pipe between traditional capital markets and the two largest digital assets.

Ethereum has a second kicker that I don't think gets enough attention. The GENIUS Act already legalized stablecoins at the federal level and the overwhelming majority of stablecoin activity settles on the Ethereum network. Add in the tokenization of real world assets that firms like BlackRock are already pursuing and you have a growing list of regulated financial activity that pays fees in ETH to use the chain. CLARITY passing means registered American intermediaries can plug into that economy directly. That's a structural demand story for the network's base asset and it compounds over time.

There's also the competitive angle that Washington finally seems to understand. Capital and developers go where the rules are clear and Europe, Singapore, Hong Kong and the UAE all moved ahead of the United States on crypto frameworks over the past few years. A signed CLARITY Act flips that dynamic and makes the US the default home for digital asset businesses which keeps the liquidity, the listings and the innovation onshore. Bitcoin and Ethereum sit at the center of every one of those flows.

## Risks To My Thesis

The Senate has burned crypto before and it happened barely a month ago. The bill was supposed to get a floor vote before the August recess and it got bumped which sent Bitcoin under $63,000. September 15th is a procedural vote and not a signing ceremony. The Senate still has to reconcile its Banking and Agriculture texts with the House version and any slip into 2027 probably unwinds a meaningful chunk of this rally.

Critics of the bill argue it creates room for regulatory arbitrage since issuers could structure tokens to migrate away from SEC oversight. Amendments addressing those concerns could water the bill down or slow it further. There's also headline risk around conflict of interest questions given the administration's own ties to crypto ventures and that could complicate the Democratic votes needed to clear the Senate.

The last risk is the simplest one. Crypto is still a high beta risk asset. A record short liquidation is what kicked off this move and squeezes can retrace as fast as they appear. One strong week of ETF inflows confirms the breakout but it doesn't guarantee durability. If long-term yields reverse higher or the macro picture deteriorates Bitcoin and Ethereum will trade like leveraged Nasdaq exposure the way they always have.

## Conclusion

Bitcoin at $77,000 and Ethereum at $2,400 are rallying for a real fundamental reason and not just vibes. The CLARITY Act would end a decade-long jurisdictional fight, hand Bitcoin and Ethereum to the CFTC as digital commodities and give every sidelined institution the legal certainty it needs to allocate. The flows are already confirming the thesis as $2.62 billion came back into the ETFs in a single week while the yearly numbers are still negative which tells me this trade isn't crowded. If the September 15th vote goes well I think Bitcoin makes a run at its 50-week moving average near $82,500 with six figures in play into year end while Ethereum has a path back toward $3,000. A signed bill wouldn't be the end of this story. It would be the starting gun.

## Full disclaimer:

I own Ethereum.

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